

Mastercard Smart Dispute Hub

Problem:

Today, when fraud occurs on Mastercard credit cards, the process is slow and highly manual:

Customer calls → Agent files a dispute → Fraud team investigates → Provisional credit issued in 24–48 hours → Chargeback filed manually → 45+ day cycle time

Impact:

Cost: \$8–\$12 per call. High call volume = \$XM/year

Loss: Delayed provisional credit + weak evidence lowers chargeback win rates and increases fraud loss \$

CX: Customers wait days to get their money back; CSAT drops during fraud cases

Ops: Case cycle time is 30–45 days. Agents spend time on repetitive data entry

Goal:

Launch a self-serve + smart triage product on the Mastercard network that cuts case cycle time, improves win rate, and deflects calls while protecting CX.

Target Users & Stakeholders :

Primary users: Cardholders who experience fraud on Mastercard credit cards

Secondary users: Issuing Bank Fraud Ops teams

Stakeholders: Mastercard, Risk, Legal, Contact Center, Product, Core Banking

Solution: Mastercard Smart Dispute Hub

Core Features:

US1 (User): As a cardholder, I want to report fraud in-app so that I get provisional credit in 10 mins

AC (Acceptance Criteria): Given I select 1 transaction and answer 3 questions, When I submit, Then I see "Provisional credit issued" within 10 mins for low-

risk cases

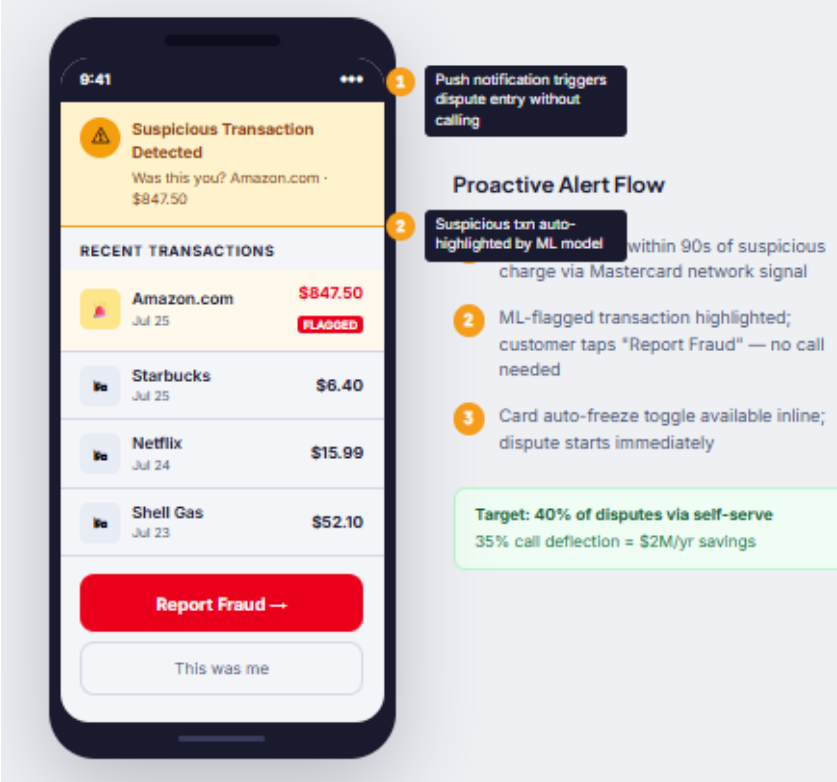
US2: As a Fraud Ops agent, I want auto-generated dispute packets so that I don't manually enter data

US3: As a Fraud Ops Manager, I want a dashboard of win rate by reason code so that I can improve chargeback strategy

AC: Given I open the dashboard, When I filter by reason code 10.4, Then I see win rate % and fraud loss \$

Open App > Tap Report Fraud > Select Txn > Get Credit Status

1. [1-Tap In-App Dispute](#): Customer selects transaction → answers 3 questions → submits. App auto-collects device, location, merchant MCC.
2. [Provisional Credit SLA Engine](#): Rule-based + ML triage. Low risk <\$1000 = auto credit in <10 mins
3. [SLA target](#): 95% of eligible cases credited within 10 minutes
4. [Chargeback Automation](#): Auto-generate Mastercard dispute packets with correct reason code + evidence. Track win rate by reason code and merchant
5. [Case Cycle Time Tracker](#): End-to-end dashboard. Target: reduce from 45 days to 15 days
6. [Proactive Alerts](#): "Suspicious transaction detected. Was this you?" Tap No → freeze card + start dispute



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← Back

Report Fraud

Amazon.com · \$847.50 · Jul 25

Question 2 of 3

1. Did you make this purchase?

✓ No, I did not make this purchase

2. Do you have your card?

☒ Yes, card is in my possession
 ☐ No, card is lost / stolen

3. Have you shared your card details?

Auto-collected: Device · Location · Merchant MCC · Txn metadata

Submit Dispute

3

Only 3 questions — all other data collected automatically

Q1

Did you make this purchase?

Required for dispute eligibility check

4

Q2

Do you have your card?

Triggers card freeze if lost/stolen

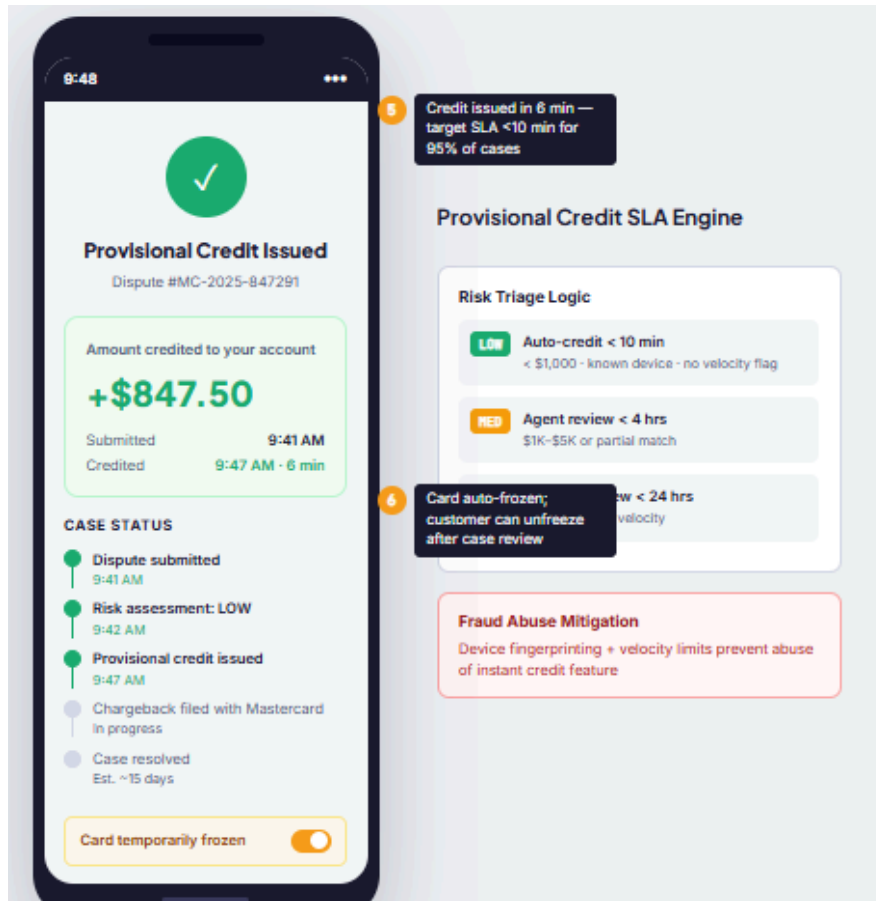
Q3

Have you shared your card details?

Used for reason code routing (10.4 vs 11.3)

Auto-collected metadata

Device ID · GPS coordinates · Merchant MCC code · Transaction timestamp · IP address



Success Metrics:

CX: 40% of disputes via self-serve. CSAT for fraud cases +15 points

Cost: 35% call deflection = \$2 million annual savings for a mid size issuer

Speed: Provisional Credit SLA: <10 mins for 95% cases. Case cycle time: 45d → 15d

Risk/Growth:

*Fraud loss \$ down 20%

* Chargeback win rate up from 55% → 70%

*Customer retention: Fraud victims 2x more likely to churn. Faster resolution = +5% retention

Network: More clean disputes submitted to Mastercard = better network data

Requirements:

Must Have: Integration with Mastercard Dispute Management, Core Banking for provisional credits, PCI compliance, e-signature

Rules Engine: Risk model for instant credit decision

Analytics: Dashboard for win rate by reason code, merchant, fraud loss \$

Non-Goal V1: Criminal investigations, merchant-side tools

Risks:

Fraud abuse of instant credit: Fraud abuse → Mitigation:

Device fingerprinting + velocity limits

Compliance: Meet Mastercard dispute timelines + regional banking laws

Adoption: In-app education + "Get money back faster" messaging

Timeline/Scope:

This isn't just cost savings. Faster resolution = happier customers = less churn = more card spend.

For Mastercard: Better data from standardized disputes improves network-wide fraud detection.

For Issuer: Lower fraud loss \$ + lower ops cost + higher NPS = competitive advantage to acquire new cardholders.

V1 Timeline: 3 months to pilot with 10% of app users

PHASE 1: MONTH 1 - Build & Integrate

- Mobile dispute UI/UX + 3-question survey
- Risk Model/Rules Engine for auto-triage
- Core Banking API webhook for provisional credit

PHASE 2: MONTH 2 - Network Integration & Testing

- Connect to Mastercard MDM test environment
- Internal UAT + Security/PCI testing
- Define manual fallback for agent overrides

PHASE 3: MONTH 3 - Pilot Rollout & Triage

- Deploy to 10% of active cardholders

- Track: <10min credit SLA, fraud leakage, call deflection
- Iterate rules engine based on false positives